

of a year, this does not speak well for either their business acumen or their financial conservatism.

A third explanation of the financial trouble finally emerged out of a mist of concealment, and we suspect that it is the most plausible and significant of the three. It seems that a good part of the capital of certain brokerage houses was held in the form of common stocks owned by the individual partners. Some of these seem to have been highly speculative and carried at inflated values. When the market declined in 1969 the quotations of such securities fell drastically and a substantial part of the capital of the firms vanished with them.² In effect the partners were speculating with the capital that was supposed to protect the customers against the ordinary financial hazards of the brokerage business, in order to make a double profit thereon. This was inexcusable; we refrain from saying more.

The investor should use his intelligence not only in formulating his financial policies but also in the associated details. These include the choice of a reputable broker to execute his orders. Up to now it was sufficient to counsel our readers to deal only with a member of the New York Stock Exchange, unless he had compelling reasons to use a nonmember firm. Reluctantly, we must add some further advice in this area. We think that people who do not carry margin accounts—and in our vocabulary this means *all* nonprofessional *investors*—should have the delivery and receipt of their securities handled by their bank. When giving a buying order to your brokers you can instruct them to deliver the securities bought to your bank against payment therefor by the bank; conversely, when selling you can instruct your bank to deliver the securities to the broker against payment of the proceeds. These services will cost a little extra but they should be well worth the expense in terms of safety and peace of mind. This advice may be disregarded, as no longer called for, after the investor is sure that all the problems of stock-exchange firms have been disposed of, but not before.*
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Investment Bankers

The term “investment banker” is applied to a firm that engages to an important extent in originating, underwriting, and selling new issues of stocks and bonds. (To underwrite means to guarantee to the issuing corporation, or other issuer, that the security will be fully sold.) A number